

The volume profile can take on four primary shapes, each revealing the market's underlying story and helping traders predict upcoming trends and plan their strategies 1:

- **The D-Shape (Balanced Market):** This profile resembles the letter "D," characterized by heavy trading volume in the middle and thin volume at the upper and lower edges 2. It indicates a balanced market where both buyers and sellers are content, and neither side is strongly in control 2. Because this shape does not predict a large directional trend, traders are advised to "fade the extremes"—meaning you should short the market from the top edge and go long from the bottom edge, targeting the Point of Control (POC) in the middle 2.
- **The P-Shape (Bullish Trend):** Shaped like the letter "P," this profile features heavy volume at the top with a thin tail trailing below 2. This is a **bullish** signal that suggests the market is either in a strong uptrend or has firmly rejected lower prices, prompting buyers to step in with conviction 2. To trade this, wait for a pullback to the POC or a small volume bump in the lower tail before going long 2. However, for a P-shape to be considered genuine, the trading day must close above 50% of its range 2.
- **The B-Shape (Bearish Trend):** As the mirror image of the P-shape, the B-shape has heavy volume at the bottom and a thin tail above 2. This indicates that sellers are in charge of the market 2. Similar to the P-shape rule, the day must close below 50% of its range for the pattern to be valid 2, 3. Traders should look for the price to bounce upward into the POC or an upper low-volume bump to initiate short positions 3.
- **The Thin Profile (Explosive Trend):** This shape lacks a heavy central zone or a clear area of balance, presenting instead as a thin column of volume spread across a wide price range 3. This profile emerges during explosive, fast-moving trends—often driven by news events—where price moves too quickly for large players to build up significant positions 3. Because the trend is so strong, traders should not fight it; instead, look for small volume clusters within the thin profile, as these indicate where traders were aggressively adding to their positions 3. In a bullish thin profile, these small clusters can serve as support levels during pullbacks 3.